Settlement, Fail Management & Reconciliation

Ensure cash and securities reach the correct parties on time, investigate settlement failures and prove internal books agree with external records.

1. What is securities settlement?

ANSWER

Settlement is the completion of a securities trade through transfer of securities and corresponding cash or consideration.

EXAMPLE

Buyer receives 1,000 shares and seller receives the agreed cash amount.

2. What is DVP?

ANSWER

Delivery versus Payment links securities delivery with cash payment so one leg is intended to occur only if the other occurs, reducing principal risk.

EXAMPLE

The securities depository releases shares when corresponding funds are available.

3. What is FOP?

ANSWER

Free of Payment is a securities transfer without an associated cash payment in the same settlement instruction.

EXAMPLE

An internal portfolio transfer moves securities between accounts without cash consideration.

4. What is a settlement fail?

ANSWER

A settlement fail occurs when securities or cash are not delivered as required on the contractual settlement date.

EXAMPLE

Seller lacks sufficient securities on T+1, so the trade remains unsettled.

5. What causes settlement failures?

ANSWER

Common causes include insufficient securities/cash, wrong SSI, unmatched trades, market cut-off misses, corporate-action restrictions, system issues or counterparty delays.

EXAMPLE

A wrong custodian account number causes instruction rejection.

6. What is fail ageing?

ANSWER

Fail ageing tracks how long a settlement remains outstanding to prioritize risk, charges and escalation.

EXAMPLE

A five-day-old fail receives higher escalation than a same-day operational delay.

7. What is a buy-in?

ANSWER

A buy-in is a process where replacement securities are purchased because the seller failed to deliver, with costs allocated according to market rules.

EXAMPLE

A failed seller is subject to a buy-in after the applicable deadline.

8. What is a sell-out?

ANSWER

A sell-out can occur where a buyer fails to pay and securities are sold to recover funds, subject to applicable rules and agreements.

EXAMPLE

The position is sold because settlement cash was not provided.

9. How would you investigate a failed trade?

ANSWER

Check matching status, settlement instruction, cash/stock availability, custodian status, market messages, cut-offs and counterparty feedback; identify root cause and coordinate correction.

EXAMPLE

A fail is traced to an outdated SSI and the correct instruction is resubmitted.

10. What is reconciliation?

ANSWER

Reconciliation compares two sets of records to identify and resolve differences, protecting the accuracy of cash, securities and transaction books.

EXAMPLE

Internal cash ledger is compared with the external bank statement.

11. What is a reconciliation break?

ANSWER

A break is a difference between records being reconciled, caused by timing, missing entries, duplicates, wrong amounts, FX, fees or other processing issues.

EXAMPLE

Internal cash shows 100,000 more than the bank statement due to an unposted outgoing payment.

12. What is Nostro reconciliation?

ANSWER

It reconciles a bank's internal record of a foreign-currency correspondent account with the statement provided by the correspondent bank.

EXAMPLE

The internal USD Nostro ledger is compared with the correspondent's USD statement.

13. What is a Nostro account?

ANSWER

A Nostro account is “our account with you”: a bank's account held with another bank, often in a foreign currency, used for payments and settlement.

EXAMPLE

A UAE bank may hold USD with a US correspondent bank.

14. What can cause a Nostro break?

ANSWER

Timing differences, bank charges, wrong value dates, missing postings, duplicate entries, FX differences and unidentified receipts/payments are common causes.

EXAMPLE

A correspondent deducts a fee that has not yet been recorded internally.

15. What is Depot reconciliation?

ANSWER

Depot reconciliation compares internal securities positions with positions held by a custodian/depository or other external source.

EXAMPLE

Internal records show 50,000 shares while custodian statement shows 49,500.

16. What causes a Depot break?

ANSWER

Unsettled trades, missed corporate actions, wrong postings, transfers, fees, stock lending or timing differences may create position mismatches.

EXAMPLE

A stock dividend is credited by the custodian but not yet posted internally.

17. How do you investigate a reconciliation break?

ANSWER

Classify the break, compare transaction-level detail, identify first date of difference, trace source records, determine timing vs true error, correct where authorized and document root cause.

EXAMPLE

A 1,000-share difference traces to a settled trade missing from the internal position system.

18. What is root-cause analysis in reconciliation?

ANSWER

It identifies the underlying process failure rather than only clearing the immediate break, enabling preventive action.

EXAMPLE

Repeated breaks caused by manual SSI entry lead to a reference-data automation fix.

19. What is break ageing?

ANSWER

Break ageing measures how long an exception remains unresolved and is used to prioritize action and escalation.

EXAMPLE

Breaks older than 30 days are escalated to senior operations management.

20. What controls improve reconciliation quality?

ANSWER

Automated matching, clear ownership, materiality/tolerance rules, ageing, escalation, maker-checker, root-cause tracking and independent review improve control effectiveness.

EXAMPLE

Daily automated matching resolves exact matches and routes only exceptions to analysts.